

INDEPENDENT AUDITOR'S REPORT

TO
THE MEMBERS,
Avance Ventures Private Limited
Report on Financial Statements

1. We have audited the accompanying financial statements of **Avance Ventures Private Limited** ("the Company"), which comprise the Balance Sheet as at 31st March, 2024, the Statement of Profit and Loss for the year ended, and a summary of the significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

2. The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

3. Our responsibility is to express an opinion on these financial statements based on our audit.
4. We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made there under.
5. We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

6. An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments; the auditor considers internal financial control relevant to the Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the financial statements.
7. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Opinion

8. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2024, and its profit/loss and its cash flows for the year ended on that date.

Report on Other Legal and Regulatory Requirements

9. As required by the Companies (Auditor's Report) Order, 2016 (the Order) issued by the Central Government in terms of Section 143(11) of the Act, we state that this statement is not applicable to the Company.
10. As required by Section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books
 - c) The Balance Sheet, the Statement of Profit and Loss dealt with by this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

- e) On the basis of the written representations received from the directors as on 31st March, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.
- f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".
- g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - A) The Company has no pending litigations.
 - B) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - C) There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

For K. S. Subrahmanyam & Co.,
Chartered Accountants
Firm Registration No.: 017461S

Sd/-
K. S. Subrahmanyam
(Proprietor)
Membership No.: 018630
UDIN: 24018630BKBLKC5067

Date: 28/09/2024
Place: Mumbai

Annexure B to Independent Auditor's Report

Referred to in paragraph 10(f) of the Independent's Auditor's Report of even date to the members of Avance Ventures Private Limited on the financial statements for the year ended 31st March, 2024.

Report on the Internal Financial Controls under Clause (i) of sub – section 143 of the Act

1. We have audited the internal financial controls over financial reporting of Avance Ventures Private Limited ("the Company") as of 31st March, 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

2. The Company's management is responsible for establishing and maintaining internal financial controls based on internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the standards on auditing deemed to be prescribed under section 143(10) of the Act to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those standards and Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all materials respects.
4. Our audit involves performing procedures to obtain audit evidence about the of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting

included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

6. A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls over financial reporting includes those policies and procedures that,
 - (1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
 - (2) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
 - (3) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

7. Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

**For K. S. Subrahmanyam & Co.,
Chartered Accountants
Firm Registration No.: 017461S**

**Sd/-
K. S. Subrahmanyam
(Proprietor)
Membership No.: 018630
UDIN: 24018630BKBLKC5067**

**Date: 28/09/2024
Place: Mumbai**

Balance Sheet as at 31st March, 2024

Particulars	Note No.	As at 31.03.2024 Rs.		As at 31.03.2023 Rs.	
I. EQUITY AND LIABILITIES					
(1) Shareholder's Funds					
(a) Share Capital					
(i) Equity Share Capital	1	10,00,000		-	
(b) Reserves and Surplus	2	2,80,46,016	2,90,46,016	-	
(2) Non Current Liabilities					
(a) Long Term Borrowings	3	57,30,12,140		-	
(b) Deferred Tax Liabilities (net)					
(c) Other Long-Term Borrowing					
(d) Long Term Provision			57,30,12,140		
(3) Current Liabilities					
(a) Short Term Borrowings					
(b) Trade Payables	4	80,000		-	
(c) Other Current Liabilities					
(c) Short Term Provision			80,000		
Total Equity & Liabilities			60,21,38,156		
II. Assets					
(1) Non-current assets					
(a) Fixed assets					
(i) Tangible assets					
(b) Non-Current Investments					
(c) Deferred Tax Assets (net)					
(d) Long Term Loan and Advances					
(e) Other Non-Current Assets					
(2) Current assets					
(a) Current Investments	5	8,87,66,108			
(b) Inventories	6	19,55,45,260			
(c) Trade receivables	7	4,21,76,654			
(d) Cash and cash equivalents	8	14,72,05,361			
(e) Short Term Loans & Advances	9	12,84,44,773			
(f) Other current assets			60,21,38,156		
Total Assets			60,21,38,156		

This is the Balance Sheet referred to in our Report of even Date.

As per our report of even date attached

For K. S. Subrahmanyam & Co.

Chartered Accountants

Firm Registration No.: 0174615

CA. K. S. Subrahmanyam
(Proprietor)

Membership No.: 018630

UDIN: 24018630BKBLKC5067

Date: 28/09/2024

Place: Mumbai

For and on Behalf of the Board of Directors

Avance Ventures Private Limited

Srikrishna Bhamidipati
(Director)

DIN: 02083384

Date: 28/09/2024

Place: Mumbai

Vijaysingh Purohit
(Director)

DIN: 06948606



Statement of Profit and Loss for the year ended 31st March, 2024

Particulars	Note No	As at 31.03.2024 Rs.	As at 31.03.2023 Rs.
I. Revenue from Operation	10	750,013,186	
Total Revenue from Operations		750,013,186	
II. Expenses:			
Purchase of Shares	11	916,631,692	
Stock in Trade	12	(195,545,260)	
Employee benefit expense	13	50,000	
Depreciation and amortization expense		-	
Other expenses	14	830,738	
Total Expenses		721,967,170	
III. Loss before tax		28,046,016	
Less: Exceptional Item			
IV. Tax expense:			
a) Current Tax			
b) Deferred Tax			
V. Profit/(Loss) after tax		28,046,016	
VI. Earning per equity share:	15		
(1) Basic		280.46	
(2) Diluted		280.46	

This is the Statement of Profit & Loss referred to in our Report of even Date

For K. S. Subrahmanyam & Co.

Chartered Accountants

Firm Registration No.: 0174615

For and on Behalf of the Board of Directors

Avance Ventures Private Limited

CA. K. S. Subrahmanyam
(Proprietor)

Membership No.: 018630

UDIN:24018630BKBLKC5067

Date: 28/09/2024

Place: Mumbai



Srikrishna Bhamidipati
DIN: 02083384
(Director)

Vijaysingh Purohit
DIN: 06948604
(Director)

Date: 28/09/2024

Place: Mumbai

AVANCE VENTURES PRIVATE LIMITED
NOTES FORMING PART OF THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2024

Note No. 1

(i) Share Capital	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Authorised Share Capital		
1,00,000 equity shares of Re. 10/- each	1,000,000	
Issued, Subscribed & fully paid up		
1,00,000 equity shares of Re. 10/- each	1,000,000	

Terms/Rights attached to equity shares and Convertible Equity Warrants:

- i) The Company has only one class of share capital, i.e. equity shares having face value of Re.10/- per share. Each holder of equity share is entitled to one vote per share, the equity shareholders are entitled to receive dividends as and when declared. Subject to approve by share holder in Annual General Meeting.
- ii) In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the no. of equity shares held by the shareholder.
- iii) Shareholders holding more than 5% of equity shares as at the end of the year:

	As at 31-03-2024		As at 31-03-2023	
Name of the shareholders	Number of shares	Shareholding %	Number of shares	Shareholding %
Avance Technologies Limited	100000	100.00	NA	

Note No. 2

(ii) Reserve and Surplus Deficit	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
A. Surplus Profit & Loss		
Balance as per the last financial statements		
Add: Amount transferred from the statement of profit and loss	28,046,016	

Note No. 3

(iii) Long Term Borrowings	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Trade Advance Received	573,012,140	

Note No. 4

(iv) Current Liabilities	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Trade Payable		
Sundry Creditors for expenses	80,000	

The provision of all known liabilities is adequate and not in excess of the amount reasonably necessary.

Note No. 5

(v) Investments	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Investment in quoted shares		
DEBOCK INDUSTRIES LTD@3254722	45,566,108	
SHARE APPLICATION MONEY		
GLOBE TEXTILES (INDIA) LTD	43,200,000	
Total Investment	88,766,108	

Note No. 6

(vi) Inventories	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Stock in Trade	195,545,260	

Note No. 7

(vii) Trade Receivables	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Trade receivables outstanding for a period less than:		
Six Months	42,176,654	
Secured, Considered Goods		



AVANCE VENTURES PRIVATE LIMITED
NOTES FORMING PART OF THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2024

Note No. 8

(viii) Cash & Cash Equivalents	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Cash in Hand		
Bank balance in Current Accounts	147,205,361	
Total	147,205,361	

Note No. 9

(ix) Short Term Loan & Advances	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Trade Advances Paid	128,444,773	

Note No. 10

(x) Revenue from Operations	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Income From Sale of Shares	750,013,186	

Note No. 11

(xi) Purchase of Services	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Purchase of Shares	916,631,692	

Note No. 12

(xii) Stock in Trade	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Opening Stock	-	
Closing Stock	195,545,260	
	(195,454,260)	

Note No. 13

(xiii) Employee Benefit Expense	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Salary to Staff	50,000	

Note No. 14

(xiv) Other Expenses	As on 31 st March, 2024 (In Rs)	As on 31 st March, 2023 (In Rs)
Auditors Fees	30,000	
Brokerage on Shares	785,176	
Demat Charges	9,562	
Professional Fees	6,000	
Total	830,738	

Note No. 15

Contingent Liabilities & Comments:

a) Guarantee Given by the Company's banker as at March 31, 2024 is Rs NIL

Earning Per Shares

	Current Year
Net Profit for the year attributable to the Ordinary Shareholders	28,046,016
Weighted average number of Equity Shares of Re 10/- each	100,000
Basic and Diluted Earning Per Share of Re 10/- each	280.46



AVANCE VENTURES PRIVATE LIMITED
NOTES FORMING PART OF THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2024

Annexure		
	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Trade Advance Received		
Avance Technologies Ltd	242,575,000	
Aayush Foods and Herbs Ltd	2,200,000	
Colab Cloud Platform Ltd	1,650,000	
Emporis Projects Ltd	12,550,000	
Empower Tradex Pvt Ltd	21,951,186	
Hansraj Commosales LLP	18,830,592	
Kabeelon Sales Corp	18,741,721	
Kalpana Commosales LLP	34,026,079	
Mahashali Tradewing LLP	6,845,055	
Manav Kumar	12,125,000	
Pallavi Mittal	1,406,250	
Purachand Choudhari	106,785,000	
Zuber Trading LLP	93,326,257	
Total	573,012,140	
Trade Payable	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Audit Fees Payable	30,000	
Salary Payable	50,000	
Total	80,000	
Trade Receivable	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Comfort Securities Ltd	1,827,059	
Master Capital Services Ltd	40,349,595	
Total	42,176,654	
Trade Advance Paid	As on 31st March, 2024 (In Rs)	As on 31st March, 2023 (In Rs)
Agam Agencies Pvt Ltd	20,800,000	
Ambe Securities Pvt Ltd	1,500,000	
Camy Viral	6,000,000	
Debock	5,408,473	
Empower Housing Pvt Ltd	2,575,000	
Empower Retail Pvt Ltd	950,000	
First Call Advisory India LLP	1,000,000	
Impex Agrotech Pvt Ltd	5,000,000	
Moonlight	5,000,000	
Navnidhi Steel Engg Co.Ltd	65,000,000	
Nikhilesh Traders LLP	4,500,000	
Profin Capital Services	3,500,000	
Rajiv Chandulal Darji	1,350,000	
Santam Investment Advisory LLP	3,125,000	
Tvisha Corporate Advisor LLP	1,000,000	
V Cats	1,736,300	
Total	128,444,773	



AVANCE VENTURES PRIVATE LIMITED											
<u>NOTES FORMING PART OF THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2024</u>											
Fixed Assets											
	Name of Assets	WDV 01/04/23	Addition	Total	Useful Life	Year Completed	Balance	Opening Dep	Dep for the Year	WDV 31/03/2024	WDV 31/03/2023
	Nil	0	0	0	0	0	0	0	0	0	0

FORMING PART OF FORM 3CD, SHOWING THE DETAILS OF FIXED ASSETS & DEPRECIATION CLAIMED THEREON UNDER INCOME TAX ACT, ON W.D.V.BASIS
FOR THE YEAR ENDING 31/03/2024

Particulars	Rate Of Depre.	Opening Block 01.04.2023	Additions Before 30.09.2023	Additions After 30.09.2023	Deletion Adjustment	Total Block 31.03.2024	Depreciation For the Year	WDV As On 31.03.2024
Nil	0	0	0	0	0	0	0	0
TOTAL RS.								

